

| Nominal Returns<br>1973-2013 | T-Bills | Bonds   | Stocks  | Permanent |
|------------------------------|---------|---------|---------|-----------|
| Returns                      | 5.27%   | 7.74%   | 10.21%  | 8.53%     |
| Volatility                   | 0.97%   | 8.43%   | 15.57%  | 7.29%     |
| Sharpe                       | 0.00    | 0.29    | 0.32    | 0.45      |
| Max Drawdown                 | 0.00%   | -15.79% | -50.95% | -12.74%   |

| Real Returns<br>1973-2013 | T-Bills | Bonds   | Stocks  | Permanent |
|---------------------------|---------|---------|---------|-----------|
| Returns                   | 0.99%   | 3.34%   | 5.71%   | 4.12%     |
| Volatility                | 1.24%   | 8.73%   | 15.74%  | 7.48%     |
| Sharpe                    | 0.00    | 0.27    | 0.30    | 0.42      |
| Max Drawdown              | 0.00%   | -44.75% | -54.12% | -23.62%   |

| Real Returns<br>1973-1981 | T-Bills | Bonds  | Stocks | Permanent |
|---------------------------|---------|--------|--------|-----------|
| Returns                   | -0.71%  | -5.08% | -3.92% | 0.92%     |

| Real Returns<br>1982-2013 | T-Bills | Bonds | Stocks | Permanent |
|---------------------------|---------|-------|--------|-----------|
| Returns                   | 1.48%   | 5.85% | 8.61%  | 5.05%     |

| Real Returns<br>1973-2013 | T-Bills | Bonds  | Stocks | Permanent |
|---------------------------|---------|--------|--------|-----------|
| 1970s                     | -1.55%  | -4.23% | -5.26% | 3.20%     |
| 1980s                     | 3.81%   | 7.22%  | 11.67% | 4.61%     |
| 1990s                     | 1.95%   | 4.87%  | 14.71% | 4.12%     |
| 2000s                     | 0.19%   | 3.92%  | -3.38% | 3.91%     |
| 2010s                     | -1.82%  | 2.17%  | 13.73% | 4.80%     |
| Volatility                | 2.38%   | 4.33%  | 9.78%  | 0.63%     |

Source: Global Financial Data